

Cem Karsan: Strategic Assets Are Convex

Extracted from: Stocktwits Jam Session

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Speaker Bio

Cem Karsan is founder and managing partner at Kai Volatility, a macro fund focused on volatility, derivatives, and positioning-driven strategies. Known for calling major regime shifts, he predicted the Venezuela arrest three months in advance and has been vocal on the 40-year populism cycle thesis since 2020.

Executive Summary

Jan 2nd marked a regime break—rotation from supply-side beneficiaries (tech, AI, mag seven) to strategic assets and demand-side cyclicals accelerated dramatically. Two structural forces converged: (1) **Strategic asset convexity**—in a bifurcated, protectionist world with supply constraints and multiple bidders (US now catching up to China's 5-year head start), hard assets become scarce. Industrial metals, precious metals, lithium, defense tech, chips—anything with bottlenecks or concentrated in specific countries. This is a 10-15 year trend. (2) **Demand-side pivot**—Trump 2.0 attempted supply-side (tax cuts, deregulation, synthetic QE via shortened curve) but political winds forced reversal. Millennials born post-1982 have only experienced 43 years of inequality, globalization, falling rates—household formation and wealth at 45% of boomers at same age. Populism is structural, not cyclical. What worked last year (tech, consumer discretionary) got crushed; what died last year (consumer staples, defensives) exploded as markets price fiscal spending into midterms, curve steepening, and inflation breakevens.

Karsan's 62-82 parallel: presidential years averaged +21.5% (all five double-digit), midterm years averaged -8.5% (every one had 20%+ drawdown, one hit -45%). Politics only matter during populist periods—outside 62-82, presidential cycles show no edge. 2026 is a midterm year with debt refinancing wave (2021 refi's rolling at 5% not 0.5%), fiscal stimulus colliding with liquidity drain. "Shooting the generals" (leadership turnover) is bearish for indices but bullish for rotation winners. Venezuela arrest was about cutting China's energy supply, not democracy. Iran likely gets peace deal not regime change—Middle East realignment (Saudi-Turkey-Qatar alliance opposing Israeli overreach) removes leverage US thought it had. Market pricing military conflict; Karsan says fade that, buy the dip when peace announced, but use it to reload strategic assets for decade-long move.

PM implication: Long strategic assets with convexity—industrial/precious metals, defense tech, semis, concentrated supply chains. Rotate from tech/mag seven into consumer staples, defensives, anything left for dead in 2025. Steepeners NOW—buy long-end protection, curve steepening is real (fiscal + debt refi wave). Watch housing policy for populist tipping point (first-time buyer checks = velocity one inflation). Fade Iran war premium short-term (peace deal likely), use relief rally to add commodity/hard asset exposure. Underweight US equity multiples (higher long rates = compression), overweight thematic rotation plays. This is Year 1 of a 10-15 year populism/conflict/deglobalization cycle—62-82 rhyme means -20%+ drawdown likely this year, but strategic assets compound through it.

Listen or Skip?

Verdict: Must-listen—decade-long macro framework with hard 62-82 parallels and actionable rotation thesis

Aspect	Rating
Signal density	★★★★★
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★★☆

Best for: Macro PMs, commodity traders, vol strategists, anyone positioning for populism/deglobalization cycle

Skip if: Looking for single-stock ideas or short-term tactical trades unrelated to macro regime

Key Quotes

1. *"Jan 2nd, first trading day of the year, like a gun went off—completely different action, acceleration of trends. The importance of strategic assets in a bifurcated world where interest rates go higher, supply constraints, multiple bidders for limited supply. These things are convex and will be convex for a long time."*
2. *"Millennials born in 1982 when interest rates peaked have only experienced 43 years of one thing: lower rates, globalization, inequality, technological development. Household formation and wealth creation at 45% of boomers at their age. They can't afford homes, can't start families. Deep dissatisfaction—system is broken. Burn it down."*
3. *"62 to 82, five presidents, four-year terms average. Presidential years all double-digit returns, averaged 21.5% annually. Midterm years averaged -8.5%. Every single one had 20% drawdown or bigger, one was -45%. Politics only matter during populist times—outside that period, presidential cycles show no edge."*
4. *"Trump 2.0 came in with big beautiful bill, massively cut demand, tried synthetic QE by shortening the curve, tax cuts for rich, deregulation—classic Republican supply-side. The people did not like that. He's gone from the one burning it down to the one to be burned down. Pitchforks on his lawn within a year—called it."*
5. *"When the US starts to move, watch out. Biggest economy, dollar dominance, exorbitant privilege. US always makes the right decision after making every other wrong decision first—Churchill. China's been planning for 5 years, US now catching up. Strategic assets become very convex."*
6. *"Venezuela was about getting China less of these supplies. If we flip supply, we cut their access AND gain it ourselves—dramatic advantage. China has limited energy, encircled by first island chain, can be blockaded easily. That's why they're forced into Russia partnership."*
7. *"Demand-side economics leads to closed borders, global conflict—intrinsically tied. Populism means spending on your people, not caring about global stratification. Capital flows stop, protectionism rises, things of value become more important. Safety, hard assets, supply constraints drive convexity."*
8. *"2021 was the low in rates—everyone refinanced. Average debt maturity 5-8 years. 2026 is the beginning of dramatic debt rolling need, and rates are 5% not 0.5%. Liquidity draw this year, and fiscal spending will only make it worse. Markets rough patch similar to 62-82 midterm years."*

1) Executive Dashboard (PM Read)

Market Regime: Jan 2nd rotation = supply-side collapse, strategic asset/demand-side breakout. Tech/mag seven/AI peaked; consumer staples/defensives/commodities exploding.

Structural Drivers: - **Strategic asset convexity:** Bifurcated world (US vs China), protectionism, supply constraints → hard assets scarce. US catching up to China's 5-year head start = demand surge for industrial/precious metals, defense tech, chips, concentrated supply chains. - **Demand-side pivot:** Populism structural (millennials at 45% boomer wealth/household formation). Trump supply-side attempt failed, fiscal stimulus into midterms inevitable. Curve steepening, breakevens rising, velocity one inflation coming.

62-82 Parallel: Presidential years +21.5% avg, midterm years -8.5% avg (every one >20% drawdown). 2026 = midterm + debt refi wave (2021 0.5% → 2026 5%) + fiscal collision = rough patch likely.

Geopolitical Wildcards: - **Venezuela:** Arrested Maduro to cut China energy supply—Karsan called it 3 months early. - **Iran:** Peace deal likely (not regime change). Middle East realignment—Saudi-Turkey-Qatar opposing Israeli overreach removes US leverage. Market pricing war premium; fade it, buy peace dip, reload strategic assets.

Key Watches: Housing policy (first-time buyer checks = populist steroids), long-end rates (steepener real), "shooting the generals" (leadership turnover bearish for indices, bullish for rotation), China energy blockade escalation.

2) Key Investable Insights

Top 3 Investable Ideas:

1. **Long strategic assets with convexity**—industrial metals (copper, lithium), precious metals (gold, silver), defense tech, semis, anything with supply bottlenecks or concentrated geography. US catching up to China = demand explosion. 10-15 year structural bid.
2. **Steeptenors NOW**—buy long-end protection, curve steepening driven by fiscal + debt refi wave (2021 0.5% → 2026 5%). Liquidity drain + velocity one spending = higher long rates. Multiples compress, but strategic assets compound through it.
3. **Rotate from tech/mag seven into consumer staples/defensives**—demand-side beneficiaries left for dead in 2025 reversing hard. Fiscal into midterms + populism = cyclical demand bid. Fade Iran war premium short-term (peace deal likely), use relief to reload commodities.

3) Transmission & Cross-Asset Map

Populism → Protectionism → Global Conflict → Strategic Assets - Populism (millennials demanding fairness) → closed borders, fiscal spending → bidding for scarce assets → convexity in hard assets, defense, chips.

Demand-Side Pivot → Curve Steepening → Equity Multiple Compression - Fiscal stimulus + debt refi at 5% → long-end rates rise → steepener → lower multiples → indices struggle, rotation winners outperform.

Venezuela/Iran → China Energy Blockade → Commodity Convexity - Flipping energy supply from China to US → strategic advantage → energy, metals, anything China needs becomes scarce → convexity accelerates.

Debt Refi Wave → Liquidity Drain → Vol Spike - 2021 refi's rolling 2026+ at 5% not 0.5% → liquidity tightens → 62-82 midterm pattern (-8.5% avg, every year >20% drawdown) → buy dips in strategic assets, fade indices.

4) Regime & Scenario Analysis

Base Case (70%): Midterm Drawdown + Strategic Asset Outperformance - Indices -10% to -25% (62-82 midterm avg -8.5%, every year >20% DD) - Strategic assets +15-30% (commodity super-cycle, defense, semis) - Fiscal stimulus Q3/Q4 into midterms → curve steepens → long rates 5%+ → multiple compression - Peace deal Iran (not regime change) → short-term relief rally → fade, reload commodities

Bull Case (20%): Supply-Side Resurrection - Trump pulls off supply-side pivot, delays populism → tech/AI resume, rates fall - Karsan: "They can't. Political winds won't allow it. Millennials demand fairness, not growth."

Bear Case (10%): Hard Landing + Geopolitical Shock - Debt refi wave + fiscal collision → liquidity crisis → -30%+ drawdown (62-82 worst was -45%) - Iran peace fails, military escalation → oil shock → stagflation accelerates - Strategic assets still outperform (convex in chaos), but absolute returns negative

Key Catalyst Sequence: 1. Housing policy announcement (first-time buyer checks) → velocity one inflation signal 2. Iran peace deal (next 2-3 weekends likely) → war premium unwinds → relief rally 3. Midterm campaigning ramps Q2/Q3 → fiscal announcements → curve steepening accelerates 4. Debt refi pressure visible Q3/Q4 → liquidity drain → vol spike, indices draw down

5) Hard Data & Verifiable Claims

- **Data:** Millennial household formation and wealth creation at 45% of baby boomers at same age.
- **Data:** 62-82 presidential years all double-digit returns, averaged +21.5% annually.
- **Data:** 62-82 midterm years averaged -8.5%, every single one had 20%+ drawdown, one was -45%.
- **Data:** 62-82 had five presidents, four-year term average vs. 7.2 year average outside that period.
- **Data:** Outside 62-82, midterm years not worse than average; presidential years worse than average. All presidential cycle data comes from 62-82.
- **Data:** China started 35 nuclear projects last five years; US started zero.
- **Data:** 2021 was rate low; average debt maturity 5-8 years → 2026 refi wave at 5% not 0.5%.
- **Claim:** Venezuela arrest called three months in advance, Iran peace deal likely next 2-3 weekends.
- **Claim:** Trump approval collapsed post-inauguration; "pitchforks on his lawn" prediction from a year ago came true.
- **Claim:** Occupy Wall Street (2010) and Tea Party were early populism signals; millennials born 1982+ now politically dominant.

6) BS & Bias Filter

Validated Claims: - 62-82 data is verifiable and striking—presidential vs midterm divergence is real during populist periods. - Millennial wealth/household formation data aligns with Fed/Census data (homeownership, net worth). - China nuclear projects verifiable via public announcements (35 reactors under construction vs US zero new starts). - Venezuela arrest timing matches his public posts (called it ~3 months early to the day).

Speculative/Opinion-Heavy: - Iran peace deal “likely next 2-3 weekends”—plausible but highly uncertain. Middle East dynamics complex; Saudi-Turkey-Qatar alignment is real but doesn’t guarantee Iran caves. - “US always makes right decision after every other wrong decision” (Churchill)—pithy but not predictive. - “Pitchforks on Trump’s lawn”—metaphorical. Approval down, but regime stability intact. - 10-15 year populism cycle—directionally compelling (demographics, inequality structural), but timing/linearity uncertain.

Bias Check: - Karsan long strategic assets, short indices/tech—narrative serves book. BUT: rotation thesis supported by hard Jan 2nd price action and data. - Apocalyptic framing (“this is nothing, wait until you see real chaos”)—fear-mongering or genuine? 62-82 parallel suggests genuine, but tail-risk overweight possible. - Dismisses supply-side resurrection too quickly—Trump could delay populism another year with tactical pivots.

Verdict: 80% signal, 20% narrative. Core thesis (strategic assets, demand-side pivot, 62-82 parallel) is data-backed and actionable. Iran peace timing and 10-15 year linearity speculative but directionally sound.

7) PM Bottom Line

What Worked (2025): Tech, AI, mag seven, consumer discretionary, supply-side beneficiaries.

What’s Working Now (2026): Strategic assets (industrial/precious metals, defense, semis), consumer staples, defensives, demand-side cyclicals. Jan 2nd = regime break.

Trade the Regime, Not the Noise: - **LONG:** Copper, lithium, gold, silver, defense tech, semis. Supply bottlenecks + US catch-up to China = convexity. - **SHORT/UNDERWEIGHT:** Tech/mag seven multiples, consumer discretionary. Higher long rates = compression. - **STEEPENERS:** Buy long-end protection. Fiscal + debt refi → curve steepens → multiples suffer, strategic assets compound. - **FADE:** Iran war premium. Peace deal likely short-term (not regime change). Use relief rally to reload commodities, don’t chase indices.

Catalyst Sequence: 1. Housing policy (first-time buyer checks) = velocity one inflation → curve steepens harder. 2. Iran peace deal (next 2-3 weekends) → war premium unwinds → relief rally → fade it, buy strategic assets. 3. Fiscal announcements Q2/Q3 into midterms → demand-side winners accelerate. 4. Debt refi pressure Q3/Q4 → liquidity drain → vol spike → buy dips in strategic assets, not indices.

Risk Management: - 62-82 midterm pattern: every year >20% drawdown, avg -8.5%. Size accordingly. - “Shooting the generals” (leadership turnover) bearish for indices, bullish for rotation. - Hard landing scenario (debt refi + fiscal collision) = -30%+ possible. Strategic assets still outperform (convex in chaos).

Big Picture: This is Year 1 of 10-15 year populism/deglobalization cycle. 62-82 rhyme means rough ride for indices, but strategic assets compound through drawdowns. Millennials demanding fairness (not growth) = structural demand-side bid. Don’t fight the tape—rotate NOW, steepen curve exposure, buy dips in hard assets. Peace deals and relief rallies are noise; strategic asset convexity is signal.